

patterns. Investors will transact with a program desk either via an agency execution or capital commitment. Other investors will solicit the expertise of a program trader when they are trading a basket where the sell orders will be financing the buy orders and wish to keep cash position balanced throughout the day so that they are not short cash at the end of the day. For program trades, the capital commitment is also known as a principal trade or risk bid. Quantitative portfolio managers are the primary clients of the program desk since these are the investors who more often trade baskets. Their primary trading objective is to minimize market impact and timing risk.

*Electronic Trading:* The electronic trading desk, also known as the algorithmic or “algo” desk, is the primary destination for investors who are seeking to capture liquidity, retain full control of the trading decision, remain anonymous, and minimize information leakage. Investors will often utilize an electronic desk when they are not anticipating any type of short-term price momentum. Here the primary goal of the investor is to gain access to the numerous market venues and be positioned to capture as much liquidity as they can within their price targets. Traditionally, the electronic trading desk was utilized for smaller orders, e.g.,  $\leq 1-3\%$  ADV, or what were believed to be “easy” trades. Now, investors use algorithms to trade both large and small orders, single stock orders and portfolios consisting of hundreds of names or more. Many investors do in fact use algorithms for their block and portfolio program trading needs, providing they have ample control over the execution of the algorithm and the algorithm is customizable to the investment objective of the fund. Electronic trading is performed on an agency basis only. The primary trading objective of these clients is to minimize market impact and opportunity cost—that is, to complete the entire order without adversely affecting market prices.

### ***Research Function***

The research function on the equity side also has three main segments and each is closely interconnected with each of the trading desks. These research roles are equity analyst, quantitative analyst, and transaction cost analyst.

Equity analysts evaluate individual companies using primarily fundamental data and balance sheet information. These analysts then provide ratings on the company such as buy, sell, hold, or short, or provide price targets or expected levels of return, based on their earnings and growth expectations. If a highly regarded analyst changes their rating on a stock, such as changing